Evolution of Management

LECTURE 2

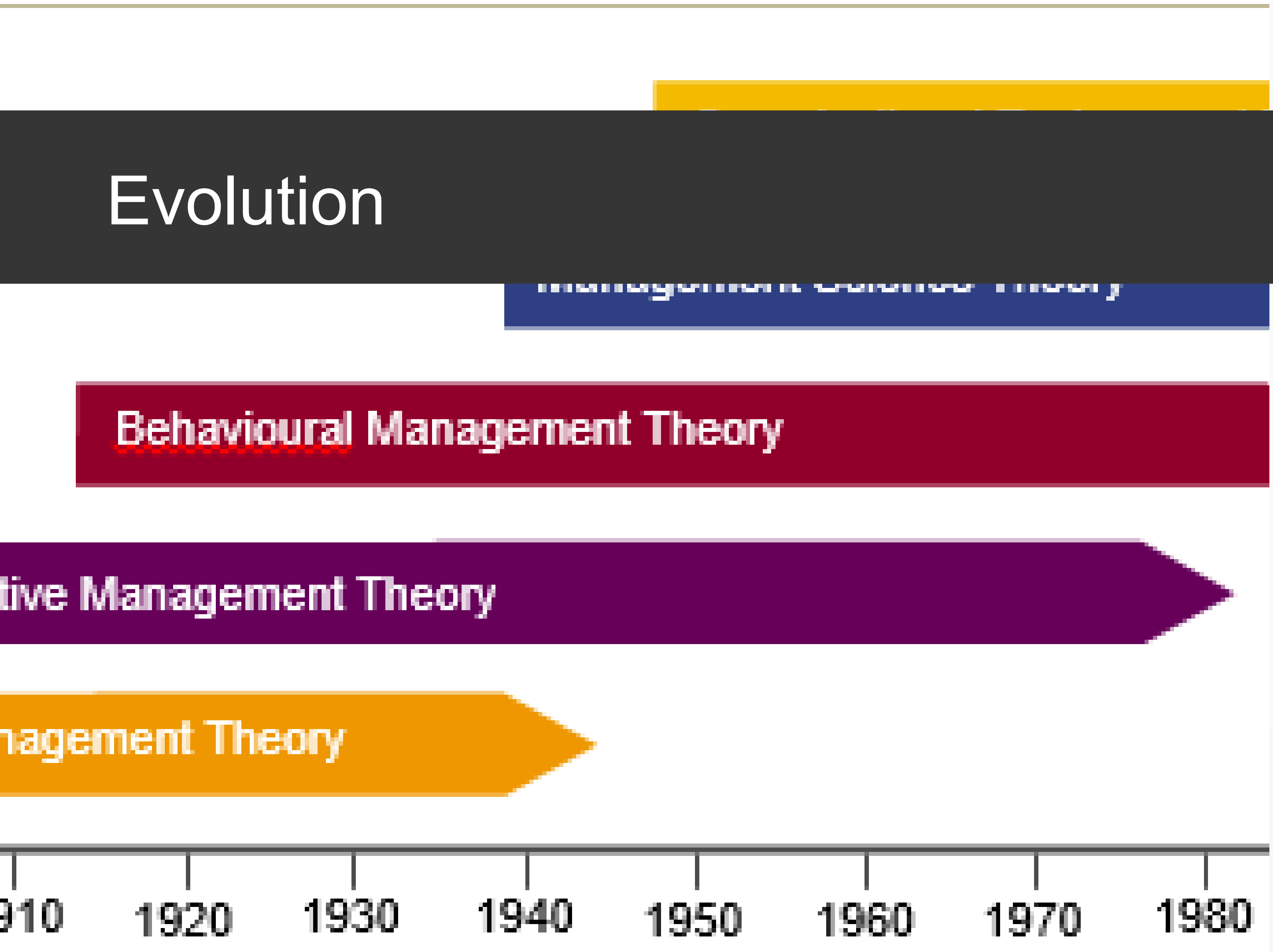
Agenda for Today

- Overview of Management Theories
- Evolution of Management Practices
- Scientific Management Insights
- Administrative Management Principles
- Behavioural Management Approaches

By the end of this lecture, students should be able to:

1. Describe and discuss the various management theories
2. Understand the ways in which management theory has evolved over time
3. Understand how economic, political, and cultural forces have affected the development of management theories.
4. Understand how economic, political, and cultural forces have affected the ways in which managers and their organizations behave

Evolution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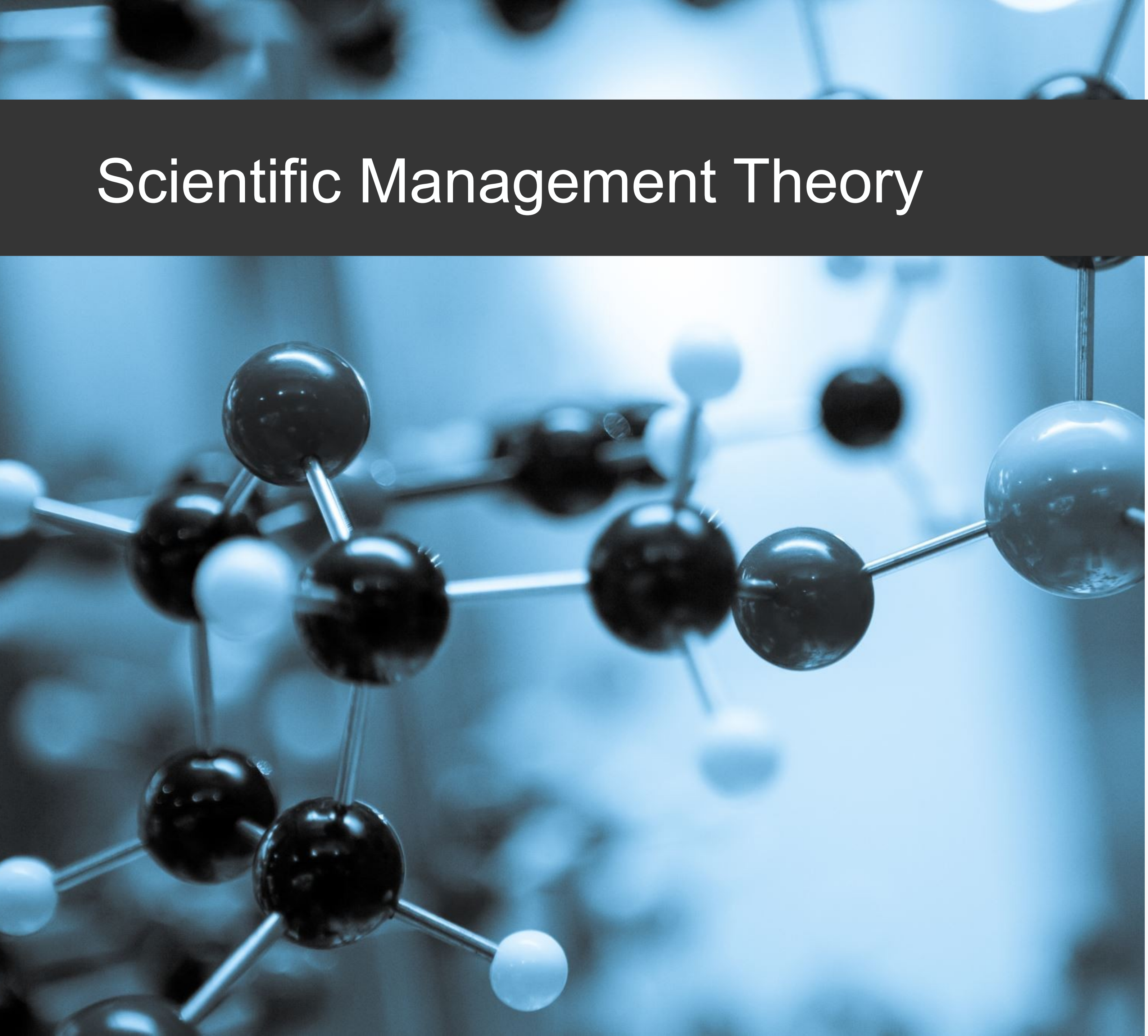
Scientific Management Theory



- Scientific management theory is a method of improving efficiency in the workforce. As its name implies, this management theory uses scientific methods to assess work processes.

- The scientific method consists of three steps: observation, experimentation, and analysis. Managers use scientific management theory to observe their workplaces, test different methods of completing tasks, and analyze the effect of the changes.

Scientific Management Theory

- The evolution of modern management began in the closing decades of the nineteenth century. In the new economic climate, managers of all types of organizations—political, educational, and economic—were increasingly trying to find better ways to satisfy customers' needs. Many major economic, technical, and cultural changes were taking place at this time. The introduction of steam power and the development of sophisticated machinery and equipment changed the way in which goods were produced, particularly in the weaving and clothing industries.
- Small workshops run by skilled workers who produced hand-manufactured products (a system called crafts production) were being replaced by large factories in which sophisticated machines controlled by hundreds or even thousands of unskilled or semiskilled workers made products.

- Owners and managers of the new factories found themselves unprepared for the challenges accompanying the change from small-scale crafts production to large-scale mechanized manufacturing.

- Many of the managers and supervisors had only a technical orientation, and were unprepared for the social problems that occur when people work together in large groups (as in a factory or shop system). Managers began to search for new techniques to manage their organizations’ resources, and soon they began to focus on ways to increase the efficiency of the worker–task mix.

Job Specialization and the Division of Labour

The famous economist Adam Smith was one of the first to look at the effects of different manufacturing systems.

He compared the relative performance of two different manufacturing methods. The first was similar to crafts-style production, in which each worker was responsible for all of the 18 tasks involved in producing a pin. The other had each worker performing only 1 or a few of the 18 tasks that go into making a completed pin.

Smith found that factories in which workers specialized in only 1 or a few tasks had greater performance than factories in which each worker performed all 18 pin-making tasks.

Smith reasoned that this difference in performance was due to the fact that the workers who specialized became much more skilled at their specific tasks, and, as a group, were thus able to produce a product faster than the group of workers who each had to perform many tasks.

Smith concluded that increasing the level of job specialization—the process by which a division of labour occurs as different workers specialize in different tasks over time—increases efficiency and leads to higher organizational performance.

Based on Adam Smith's observations, early management practitioners and theorists focused on how managers should organize and control the work process to maximize the advantages of job specialization and the division of labour

F.W. Taylor and Scientific Management

Frederick W. Taylor (1856–1915) is best known for defining the techniques of scientific management, the systematic study of relationships between people and tasks for the purpose of redesigning the work process to increase efficiency.

Taylor believed that if the amount of time and effort that each worker expended to produce a unit of output (a finished good or service) could be reduced by increasing specialization and the division of labour, then the production process would become more efficient.

Taylor believed that the way to create the most efficient division of labour could best be determined by means of scientific management techniques, rather than intuitive or informal rule-of-thumb knowledge.

four principles to increase efficiency in the workplace by FWT

Principle 1: Study the way workers perform their tasks, gather all the informal job knowledge that workers possess, and experiment with ways of improving the way tasks are performed.

Principle 2: Codify the new methods of performing tasks into written rules and standard operating procedures.

Principle 3: Carefully select workers so that they possess skills and abilities that match the needs of the task, and train them to perform the task according to the established rules and procedures.

Principle 4: Establish a fair or acceptable level of performance for a task, and then develop a pay system that provides a reward for performance above the acceptable level.

Issues associated with scientific management

Some managers in many organizations chose to implement the new principles of scientific management selectively.

Many workers experiencing the reorganized work system found that as their performance increased, managers required them to do more work for the same pay.

Workers also learned that increases in performance often meant fewer jobs and a greater threat of layoffs, because fewer workers were needed

the specialized, simplified jobs were often monotonous and repetitive, and many workers became dissatisfied with their jobs.

Scientific management brought many workers more hardship than gain, and left them with a distrust of managers who did not seem to care about their well-being.

These dissatisfied workers resisted attempts to use the new scientific management techniques and at times even withheld their job knowledge from managers to protect their jobs and pay.

Unable to inspire workers to accept the new scientific management techniques for performing tasks, some organizations increased the mechanization of the work process

The Gilbreths

Two prominent followers of Taylor were Frank Gilbreth (1868–1924) and Lillian Gilbreth (1878–1972), who refined Taylor's analysis of work movements and made many contributions to time-and-motion study

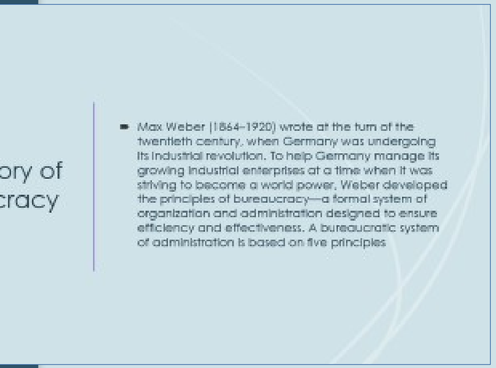
The Gilbreths often filmed a worker performing a particular task and then separated the task actions, frame by frame, into their component movements. Their goal was to maximize the efficiency with which each individual task was performed so that gains across tasks would add up to enormous savings of time and effort.

Focused on increasing worker productivity through the reduction of wasted motion.

Developed the micro chronometer to time worker motions and optimize performance

The Theory of Bureaucracy

- Max Weber (1864–1920) wrote at the turn of the twentieth century, when Germany was undergoing its industrial revolution. To help Germany manage its growing industrial enterprises at a time when it was striving to become a world power, Weber developed the principles of bureaucracy—a formal system of organization and administration designed to ensure efficiency and effectiveness. A bureaucratic system of administration is based on five principles

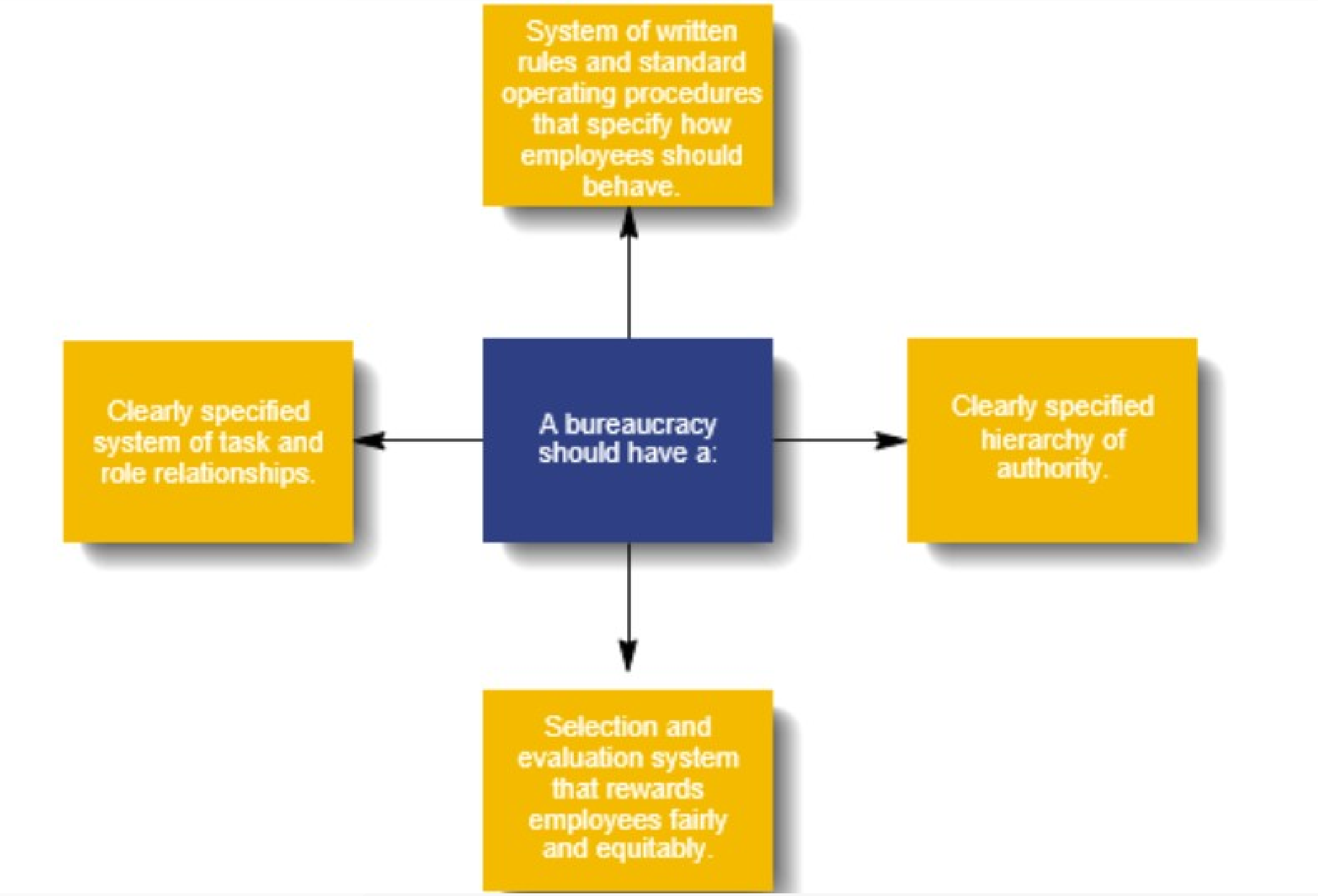


Administrative Management Theory

Side by side with scientific managers studying the person–task mix to increase efficiency, other researchers were focusing on administrative management, the study of how to create an organizational structure that leads to high efficiency and effectiveness.

Organizational structure is the system of task and authority relationships that control how employees use resources to achieve the organization’s goals

Two of the most influential views regarding the creation of efficient systems of organizational administration were developed in Europe. Max Weber, a German professor of sociology, developed one theory. Henri Fayol, a French manager who developed a model of management.


System of written rules and standard operating procedures that specify how employees should behave.
Clearly specified system of task and role relationships.
A bureaucracy should have a:
Clearly specified hierarchy of authority.
Selection and evaluation system that rewards employees fairly and equitably.

Principles of Bureaucracy

Principle 1: In a bureaucracy, a manager's formal authority derives from the position he or she holds in the organization.

Principle 2: In a bureaucracy, people should occupy positions because of their performance, not because of their social standing or personal contacts.

Principle 3: The extent of each position's formal authority and task responsibilities, and its relationship to other positions in an organization, should be clearly specified.

Principle 4: So that authority can be exercised effectively in an organization, positions should be arranged hierarchically, so employees know whom to report to and who reports to them.

Principle 5: Managers must create a well-defined system of rules, standard operating procedures, and norms so that they can effectively control behaviour within an organization.

Fayol's Principles of Management

- Working at the same time as Weber but independently of him, Henri Fayol (1841–1925), the CEO of Comambault Mining, identified 14 principles that he believed to be essential to increasing the efficiency of the management process. Some of the principles that Fayol outlined have faded from contemporary management practices, but most have endured.

Division of Labour Job specialization and the division of labour should increase efficiency, especially if managers take steps to lessen workers' boredom.

Authority and Responsibility Managers have the right to give orders and the power to exhort subordinates for obedience.

Unity of Command An employee should receive orders from only one superior.

Line of Authority The length of the chain of command that extends from the top to the bottom of an organization should be limited.

Unity of Direction The organization should have a single plan of action to guide managers and workers.

Equity All organizational members are entitled to be treated with justice and respect.

- **Order** The arrangement of organizational positions should maximize organizational efficiency and provide employees with satisfying career opportunities.
- **Initiative** Managers should allow employees to be innovative and creative.
- **Discipline** Managers need to create a workforce that strives to achieve organizational goals.
- **Remuneration of Personnel** The system that managers use to reward employees should be equitable for both employees and the organization.
- **Stability of Tenure of Personnel** Long-term employees develop skills that can improve organizational efficiency.
- **Subordination of Individual Interests to the Common Interest** Employees should understand how their performance affects the performance of the whole organization.
- **Esprit de Corps** Managers should encourage the development of shared feelings of comrade- ship, enthusiasm, or devotion to a common cause.

- The principles that Fayol and Weber set forth still provide a clear and appropriate set of guidelines that managers can use to create a work setting that makes efficient and effective use of organizational resources. These principles remain the bedrock of modern management theory; recent researchers have refined or developed them to suit modern conditions. For example, Weber’s and Fayol’s concerns for equity and for establishing appropriate links between performance and reward are central themes in contemporary theories of motivation and leadership.

Behavioural Management Theory

- The behavioural management theorists writing in the first half of the twentieth century all espoused a theme that focused on how managers should personally behave in order to motivate employees and encourage them to perform at high levels and be committed to the achievement of organizational goals. The "Management Insight" indicates how employees can become demoralized when managers do not treat their employees properly.

The Work of Mary Parker Follett

- Much of her writing about management and about the way managers should behave toward workers was a response to her concern that Taylor was ignoring the human side of the organization. She pointed out that management often overlooks the multitude of ways in which employees can contribute to the organization when managers allow them to participate and exercise initiative in their everyday work lives.
- Taylor, for example, relied on time-and-motion experts to analyze workers' jobs for them. Follett, in contrast, argued that because workers know the most about their jobs, they should be involved in job analysis and managers should allow them to participate in the work development process.

- Follett proposed that, “Authority should go with knowledge ... whether it is up the line or down.” In other words, if workers have the relevant knowledge, then workers, rather than managers, should be in control of the work process itself, and managers should behave as coaches and facilitators—not as monitors and super- visors.
- In making this statement,

1. Follett anticipated the current interest in self- managed teams and empowerment.
2. She also recognized the importance of having managers in different departments communicate directly with each other to speed decision making.
3. She advocated what she called “cross-functioning”: members of different departments working together in cross-departmental teams to accomplish projects—an approach that is increasingly utilized today
4. Fayol also mentioned expertise and knowledge as important sources of managers’ authority, but Follett went further. She proposed that knowledge and expertise, and not managers’ formal authority deriving from their position in the hierarchy, should decide who would lead at any particular moment. She believed, as do many management theorists today, that power is fluid and should flow to the person who can best help the organization achieve its goals

- Follett took a horizontal view of power and authority, in contrast to Fayol, who saw the formal line of authority and vertical chain of command as being most essential to effective management. Follett’s behavioural approach to management was very radical for its time.

The Hawthorne Studies and Human Relations

- Probably because of its radical nature, Follett's work was unappreciated by managers and researchers until quite recently. Instead, researchers continued to follow in the footsteps of Taylor and the Gilbreths.
- One focus was on how efficiency might be increased through improving various characteristics of the work setting, such as job specialization or the kinds of tools workers used.
- One series of studies was conducted from 1924 to 1932 at the Hawthorne Works of the Western Electric Company. This research, now known as the Hawthorne studies, began as an attempt to investigate how characteristics of the work setting—specifically the level of lighting or illumination—affect worker fatigue and performance

- The experiment produced some unexpected results. The researchers found that regardless of whether they raised or lowered the level of illumination, productivity increased.
- The researchers found these results puzzling and invited a noted Harvard psychologist, Elton Mayo, to help them. Subsequently, it was found that many other factors also influence worker behavior.
- However, this particular effect— which became known as the Hawthorne effect—seemed to suggest that workers' attitudes toward their managers affect the level of workers' performance. In particular, the significant finding was that a manager's behaviour or leadership approach can affect performance.
- One of the main implications of the Hawthorne studies was that the behaviour of managers and workers in the work setting is as important in explaining the level of performance as the technical aspects of the task. Managers must understand the workings of the informal organization, the system of behavioural rules and norms that emerge in a group, when they try to manage or change behaviour in organizations.

Theory X and Theory Y - Douglas McGregor

- Several studies after the Second World War revealed how assumptions about workers' attitudes and behaviour affect managers' behaviour. Perhaps the most influential approach was developed by Douglas McGregor. He proposed that two different sets of assumptions about work attitudes and behaviours dominate the way managers think and affect how they behave in organizations. McGregor named these two contrasting sets of assumptions Theory X and Theory Y

THEORY X	THEORY Y
The average employee is lazy, dislikes work, and will try to do as little as possible.	Employees are not inherently lazy. Given the chance, employees will do what is good for the organization.
To ensure that employees work hard, managers should closely supervise employees.	To allow employees to work in the organization's interest, managers must create a work setting that provides opportunities for workers to exercise initiative and self-direction.
Managers should create strict work rules and implement a well-defined system of rewards and punishments to control employees.	Managers should decentralize authority to employees and make sure employees have the resources necessary to achieve organizational goals.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